Ch #3 - Employment Income - Handout#1 (ANSWER)

Gross Pay from Employer	$75,000	
Gratuities	2,000	
Bonus	0	Note #3
Gifts	1,625	Note #1
Employer Contribution to Pension Plan	0	
Tuition	0	
Life Insurance Premium	1,000	
Golf Membership	0	Note #2
EMPLOYMENT INCOME	$79,625	

Note #1:	Work Anniversay Gift (Watch)	300	
	Less: Anniversay Allowance	500	*
	Taxable Benefit	0	

* - Separate allowance since it's for anniversay of at least 5 years

Non-Cash Gifts:	
Vacation Package	2025
Gift Card - Birthday Gift	100
Less: Non-Taxable Allowance	-500
Taxable Benefit	1625

Note #2: Can be argued that this is for the primary benefit of the employer because business is generated from maintaining client relationships.

Note #3: Bonus not received by Billy until 2025 tax year.